Fluence: converting an attractive storage market into cash and profit

Fluence sells battery-storage systems, project integration, operating services and asset-optimization software. Grid constraints and rapidly changing AI electricity demand create useful applications. Shareholder returns depend on reliable production, project margins and customer cash terms: a large order book can still consume cash and generate losses when delivery slips.

Current research snapshot	Assessment
Company / listing	Fluence Energy / Nasdaq FLNC
Coverage	Covered; holding status is not asserted
Latest full accounts	Fiscal Q3 ended June 2026; calendar Q2
Latest guide	16 September preliminary FY2026: USD 2,400 million sales and USD 200 million adjusted EBITDA loss
Selected valuation window	Q4 2027 through Q3 2028
Selected model ceiling	About USD 7 per share; 20x forward four-quarter core OP
Analytical score / Excel Base	53 / 100 analytical; protected Excel Base 60
Dated share price	About USD 6; 20 October 2026 regular close
Model denominator	192 million economic share proxy in the selected quarter
Confidence	Latest reported totals HIGH; forward recovery, costs, capacity and cash conversion LOW

The opportunity is a recovery in qualified output and the ability to monetize control-system and integration expertise. The decisive evidence will be completed milestones, normal project economics and cash collection. Current supplier execution, penalties and liquidity restrictions materially weaken the case for treating demand growth as automatic profit.

All financial prose and tables use whole-number displays. USD millions are used unless stated otherwise. Exact inputs, shares, costs and calculations remain in the linked model and workbook; independently rounded rows can differ from displayed totals. Negative loss-window formula outputs are retained as diagnostics and are not meaningful positive equity targets.

Products, customer value and the constrained part of the system

Storage systems combine battery cells, enclosures, thermal management, inverters and controls with engineering and commissioning. Operating services support installed equipment. Digital applications optimize asset use. These three revenue categories are disclosed within one accounting segment; future product gross margins are analytical allocations.

Product pool	Customer value	Company profit capture / constraint
Storage systems / engineering	Deployable storage with controls, safety and project integration.	Fixed-price delivery and performance obligations expose Fluence to supplier cost, quality, commissioning and penalty risk.
Services	Availability, maintenance and long-term operating support.	Revenue follows installed contracts and service periods; technicians, warranty and supplier recoveries cost money.
Digital applications	Dispatch and asset optimization.	Software economics can differ from hardware; its present revenue base is small and cannot lift all system margins to software levels.
Houston supply chain	Domestic qualified battery systems for U.S. customers.	Welding and assembly throughput are the immediate constraint; nameplate capacity does not establish saleable output.

The company-specific bottleneck is execution inside its contract manufacturing and project chain. That constraint creates both an opportunity to recover lost deliveries and an obligation to fund rework, inspections and delays. It does not by itself establish pricing power over customers.



Customer-published Gridstack Pro 5000 product illustration, 14 October 2026. This is an illustration of Fluence equipment, not a photograph of a completed Brunsbuttel project. Source: original source. Original bytes and image credits are retained.

Power demand creates use cases; project economics determine capture

Battery storage can smooth fast load changes, support power quality and provide grid services. In some projects it can work alongside on-site generation or make existing network capacity more useful. Duration, operating profile, connection rules, safety, inverter integration and customer financing determine the appropriate system.

The issuer discusses low-voltage ride-through, load smoothing and controls as useful data-center features. Management indicated data-center project margins broadly align with an ordinary 10-15% range; that comment is business context, not a disclosed future GAAP product margin. It declined to provide a universal conversion from data-center GW to battery GWh.

Powering the AI Revolution: Battery Energy Storage Use Cases

Use Case 1: On-site Generation Systems

Data center developers are fundamentally rethinking their energy supply strategies regarding on-site generation, including how firm power, necessary back-up power, and the grid connection is secured.

Professional services provider Turner and Townsend reports that many data center developers now say that access to adequate power is delaying projects. The *2023 Data Center Cost Index* highlights this shift in priorities among data center developers:

- **80%** reported "delays or challenges in securing power ... had a severe impact on data center delivery."
- **82%** prioritized power availability over delivery costs.
- **92%** considered access to power more important than the data center's location.[16]

In response, data center owners are exploring ways to take greater control of their energy supply. Nearby generation that can directly power the data center, paired with energy storage, is emerging as an increasingly attractive solution.

Circumventing the Queue

Co-located energy systems can include generation sources like solar or thermal power and may be paired with energy storage, which can significantly reduce the energy demanded from the grid by the data center. This is key because it reduces the total amount of MW requested in an interconnection application by a data center, which is key for both reducing costs and critically also allowing for faster interconnections where the data center can connect based on existing grid infrastructure.

Further, a larger onsite battery system can provide the necessary power and allow the data center to operate in an islanded mode without grid connection for some period of time. This setup can reduce grid connection costs and avoid interconnection delays, effectively "bridging the gap" when full utility service is unavailable,[17] which is valuable for technology players looking to get ahead in the AI race. In these cases, on-site storage enables advanced capabilities such as grid-forming and black start functions, allowing data centers to operate as islanded microgrids during grid outages.

While battery storage is most cost effective at utility scale with four to six hours of capacity, an on-site solar-plus-storage system can reliably provide 14 to 16 hours of electricity directly to a data center in most active markets. Applications for this solution are expected to grow in number as demand for resilient and self-sufficient power options increases.



Issuer AI-storage white paper, copyright 2025, original page 6. It illustrates on-site generation and connection-queue mechanisms. Historical surveys and forecasts on the original page are not treated as new 2026 orders or current demand guidance. Source: original source. Original bytes and image credits are retained.

A broad AI capital budget supplies no Fluence revenue allocation without a contracted project, technical requirements, procurement share, recognition schedule and net cost bridge. No distinct SpaceX battery award was identified in this review.

What the research must distinguish

Thesis question	Evidence that matters	Model discipline
Can backlog become profitable revenue?	Qualified supplier output, project-restricted costs, milestones and collections.	Two coherent recovery/cost states; no automatic backlog-to-profit conversion.
Can control software protect product economics?	Acceptance, safety, useful performance and net project margin.	No unsupported software-like systems multiple or margin.
Can faster electricity access command a premium?	A newly priced eligible contract, customer willingness to pay and cost after penalties.	A bounded premium was assessed but overlaps the recovery margin path fully.
Does a new order expand the existing wallet?	A customer-confirmed contract and a specific residual after reference overlap.	Only a bounded Vattenfall residual, with manufacturing and support costs.
Can the company finance delivery?	Cash terms, inventory, procurement obligations, facilities and covenants.	Conditional operating forecast; no claim that the entire growth path is funded.

The potential alpha comes from correctly separating project delays from permanently lost consideration, and real recoverable capacity from nominal factory capacity. It also requires retaining fixed costs in a slow state and distinguishing a paper profit recovery from cash available to shareholders.

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Competitive position and customer alternatives

Battery cells and parts of the physical system can be purchased from competing suppliers. Integrators compete on controls, safety, cost, delivery, service and the ability to finance performance commitments. Large developers and utilities can qualify alternative suppliers and negotiate fixed-price terms. Customer power limits assumed price premiums.

Competitive dimension	Potential advantage	Counter-evidence / test
Controls and integration	Reliable response to difficult grid or data-center requirements can support qualification.	Performance must translate into contracted margin and renewals, not only a technical demonstration.
Domestic supply option	Qualified U.S. content can help customers meet applicable project requirements.	Houston welding and labor problems limit near-term supply; compliance is conditional.
Global delivery footprint	International projects diversify demand and supplier routes.	International qualified capacity, price and cash terms are not unlimited or fully disclosed.
Service relationship	Installed equipment can support recurring service and software.	Product warranty and customer support may consume margin; supplier recovery is incomplete.

Competitive dimension	Potential advantage	Counter-evidence / test
Order book	Signed projects provide better visibility than an uncontracted pipeline.	Customers can delay; scope/cost revisions and penalties can erode profit.

Use Case 3: Supporting the Electricity Network

The rapid increase in AI-driven electricity demand is emerging at a time when grids are already under pressure from electrification and the shift to renewable resources. To navigate these challenges effectively, utilities and network operators need to develop detailed resource plans. Optimizing existing grid infrastructure will be both faster and more cost effective than extensive network expansion. Case in point: U.S. utility Dominion Energy recently requested $63.1 million for transmission upgrades benefiting a single data center, with costs spread across its customer base.[38]

Even before the recent data center demand surge, the U.S. interconnection queue faced significant delays. By the end of 2022, there were 2.6 TW of power projects awaiting grid connection, with solar, wind, and storage making up nearly all this capacity.[39] These projects accounted for 95% of the year-over-year increase, including 1 TW of solar and 1 TW of energy storage.

Similar bottlenecks exist elsewhere. Projects in Germany face permitting and transmission delays,[40] Japan struggles with balancing its islanded grid,[41] and Australia's National Electricity Market (NEM) contends with volatility from high solar penetration, and increasingly unreliable and aged coal-fired generators.[42]

Partner to the Grid

Electricity network projects are notoriously slow to deliver. By contrast, utility-scale storage can be quickly and strategically deployed at transmission and distribution points where grid congestion or load growth is occurring.

These targeted energy storage deployments enable full utilization of existing grid capacity. Due to contingency planning for grid safety and reliability, transmission networks often operate below their maximum capacity. Battery storage can provide backup power and / or function as a transmission asset, allowing grid operators to plan on use of the storage system in contingency events and therefore increase their use of existing transmission lines. This particularly helps grid operators who are dealing with high demand areas, like those caused by a cluster of data centers.

In Summary

To strengthen networks and achieve system-wide savings, grid operators and utilities worldwide should increasingly utilize energy storage to ensure resiliency with higher levels of renewable energy.

- Transmission congestion is already a major concern and is likely to worsen.
- Storage can improve the load factor of existing generation, particularly renewables, helping to reduce marginal peak demand and the need for additional capacity expansion.
- Battery energy storage enhances grid utilization, reducing the need for slow and costly grid upgrades.

EXAMPLE

Grid Boosters in Germany

Battery storage projects are increasingly demonstrating their role in grid reliability. A key example is the 250 MW Grid Booster project in southwest Germany, the world's largest storage as a transmission asset project at the time it was announced in October 2022. Supplied by Fluence for the Transmission System Operator (TSO) TransnetBW, the project will support grid stability at a crucial hub in the German state of Baden-Württemberg.

The Grid Booster will help meet Germany's n-1 principle, which requires extra grid capacity to cover potential faults. By using battery storage as backup, the grid can operate closer to full capacity while ensuring reliability.

Fluence also partnered with TSO TenneT in 2023, announcing a 200 MW storage system for two additional Grid Booster projects in Germany. These Fluence Ultrastack™ systems will help optimize transmission capacity, essential for transferring wind energy from the north to the industrial south.[37]

Issuer white paper, copyright 2025, original page 11. Historic grid-booster examples explain network-support capabilities; they are not fresh order additions to this model. Source: original source. Original bytes and image credits are retained.

Latest reported quarter: low margin and a core operating loss

Fiscal Q3 2026 / calendar Q2	USD million	Scope
Systems / engineering sales	627	Reported product revenue
Services sales	20	Reported
Digital sales	2	Reported
Total sales	650	Reported
COGS	617	GAAP; ordinary manufacturing depreciation and stock compensation included
Gross profit	33	About 5% margin
R&D	24	Core expense
Selling / marketing	25	Core expense
General / administration	38	Core expense
Separately presented D&A	4	Core expense
Core operating charges	91	Sum of the four expense rows
Reconstructed core OP	-58	Gross profit less core charges
Interest income / other income	3 / 11	Excluded from the core operating result
Adjusted EBITDA	-29	Issuer non-GAAP measure, different from core OP

The release and 10-Q are dated 5 August. The earnings call followed on 6 August. The nine-month actuals are the correct subtraction base for the September fiscal-year guide. Product revenue is disclosed, but no observed separate product gross margins are supplied. Issuer release; 10-Q.

GAAP costs and adjusted EBITDA must remain separate

Reported fiscal Q3 bridge	USD million	Direction from core OP
Core OP	-58	Starting operating result
Total D&A	11	Add back for the EBITDA bridge
Stock compensation	5	Add back for the issuer adjusted measure
Other nonrecurring expense	1	Add back
Reported other income	11	Included in issuer result but outside core OP
Adjusted EBITDA	-29	Reconciled issuer measure

Total D&A is distributed across manufacturing and operating categories and differs from the separate D&A line on the income statement. Product gross profit less GAAP core operating expense already contains ordinary D&A and stock compensation. The forward product-cost model therefore does not deduct those charges a second time.

Starting from adjusted EBITDA requires the reverse bridge: subtract total D&A, stock compensation, applicable nonrecurring addbacks and any other income outside core operations. The company cannot supply a complete forward GAAP reconciliation. The near-term quarter is an estimate with explicit assumptions, not an observed GAAP result.

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September preliminary guidance: delayed receipts and lost consideration

September revenue reduction	USD million	Economic meaning
Production delays	450	Project revenue shifts in time
Logistics / customer-readiness delays	85	Project revenue shifts in time
Late-delivery penalties	65	Contra-revenue: permanently lower contract consideration
Total reduction	600	From about 3,000 to about 2,400 full-year sales
Deferred portion only	535	Already included in backlog/reference; not an extra future addition

Adjusted EBITDA deterioration	USD million	Treatment
Gross profit on shifted revenue	65	Profit moves with delayed receipts

Adjusted EBITDA deterioration	USD million	Treatment
Same late-delivery penalties	65	Same lost consideration; counted once
Additional product-rollout cost	35	Incremental to prior guide
Additional Houston volume / quality cost	25	Incremental to prior guide
Total deterioration	190	From about 10 loss to about 200 loss

A penalty reduces contract price and gross profit once. Deducting it again as a standalone cost would double count the damage. Likewise, treating all USD 600 million as delayed future sales would wrongly restore the USD 65 million that is foregone consideration. The primary six-slide update supports these distinct components. September update; preliminary issuer release.

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Guide-calibrated September quarter: explicit losses and uncertainty

Fiscal FY2026 Q4 / calendar Q3 bridge	USD million	Status
Preliminary FY2026 revenue	2,400	September issuer expectation
Less reported nine-month sales	1,590	Actual
Implied Q4 sales	810	Preliminary residual, not reported quarterly actual
Preliminary FY2026 adjusted EBITDA	-200	September issuer expectation
Less nine-month adjusted EBITDA	-91	Actual
Implied Q4 adjusted EBITDA	-109	Preliminary residual
Assumed total D&A	12	LOW estimate
Assumed stock compensation	6	LOW estimate
Assumed other nonrecurring addback	1	LOW estimate
Assumed other income	0	No unverified recurring benefit
Implied core OP	-128	Adjusted EBITDA less all four bridge items
Core operating charges	91	Retained latest-quarter expense anchor
Implied gross profit	-37	Core OP plus ordinary core charges

The implied quarter contains roughly USD 782 million of systems revenue, USD 25 million of services and USD 3 million of digital revenue. Product allocation and future gross margin remain LOW. Ordinary costs are retained inside that product GP and expense total; there is no second deduction of the assumed D&A or stock compensation.

The model explicitly tests total D&A of USD 9 million and USD 15 million and stock compensation of USD 4 million and USD 7 million. These change the near-term loss window, not later operating economics. Full reported FY2026 accounts are not available at this review cutoff.

Houston: a physical throughput and quality problem

In August, the plan assumed about 11 units per day while actual production averaged less than one. By the first two weeks of September it had reached about three. Automated welding underperformed and final assembly lacked skilled labor. The manufacturer moved to manual welding and added three subcontractors, which brings inspection, labor and quality costs.

The September call said extra generators had removed power as the immediate limiting factor, although the facility was still off-grid. October or November connection was an expectation, not verified completion. The facility's nominal 15 GWh annual capacity cannot be substituted for qualified current throughput.

Operational gate	Why it changes profit	Evidence to monitor
Qualified welds / assemblies	Raises usable output; fewer units spread committed costs over less revenue.	Sustained daily output, inspection pass rates and accepted product
Project recognition / commissioning	Work must meet contract criteria; delays expose penalties.	Customer-restricted materials/costs and milestone evidence
Supplier recourse	Recovery could offset some costs.	September management said recourse would not materially change the guide; no full recovery assumed
Cash profile	Inventory and advance purchases can precede billings.	Contract payment terms, receipts and supplier obligations

The revenue-equivalent capacity proxies below are not a physical production forecast. Under percentage-of-completion accounting, recognized revenue can precede substantial completion when costs become restricted to a customer project. A receipt-to-GWh ratio also contains EPC and product mix.

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Fiscal periods and the recovery framework

Calendar period	Fiscal mapping	Model annual weighting
October-December	Next fiscal year Q1	20%
January-March	Fiscal Q2	24%
April-June	Fiscal Q3	26%
July-September	Fiscal Q4	30%

Management aimed to deliver about USD 2,900 million of fiscal 2027 backlog, including USD 1,200 million requiring U.S. production. It explicitly had not supplied formal fiscal 2027 revenue or earnings guidance. The plan used manual welding, more selective U.S. commitments and favorable cash profiles. Less seasonality was an objective; the 20/24/26/30 split remains a LOW recognition assumption.

FY2027 input	Model treatment	Limit
U.S. timely case	USD 1,200 million	Qualified production / project recognition required
U.S. slower case	USD 600 million	Remaining timing is reflected inside the later slow path
International backlog	USD 1,700 million times 90% = USD 1,530 million	Other 10% is timing risk; not a cancelled-contract assertion
Selective extra international work	USD 200 million conditional times 50% = USD 100 million expected	Unannounced bounded opportunity; cash-favorable qualification required
Services / digital	USD 120 million / USD 15 million	Contained within the totals; not added again

The 60% timely and 40% slower states jointly cover U.S. recognition, manufacturing cost and expense discipline. They share the probability-weighted international assumptions. They are not a complete distribution of every funding, counterparty, regulatory or project failure outcome.

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Annual recovery drivers and required physical scale

Fiscal year	U.S. timely	U.S. slower	International base	Services within total	Digital within total	USD m / GWh proxy
2027	1,200	600	1,530	120	15	180
2028	1,800	1,500	1,950	160	25	170
2029	2,300	2,080	2,200	200	40	160
2030	2,250	2,100	2,450	250	60	150
2031	2,175	2,030	2,700	300	80	145

Fiscal year	Timely U.S. GWh proxy	Slower U.S. GWh proxy	Nominal ceiling
2027	7	3	15 GWh
2028	11	9	15 GWh
2029	14	13	15 GWh
2030	15	14	15 GWh
2031	15	14	15 GWh

Whole GWh display is rounded; exact values remain in the model. The timely FY2029 proxy is below 15 GWh and the FY2030-2031 U.S. path is capped at nominal 15 GWh as assumed revenue per GWh declines. International output requires separately qualified supply and project capacity. Its future path is a LOW assumption, not demonstrated available capacity.

The FY2028 slower U.S. receipt budget already contains deferred FY2027 work. Future international receipts already include ordinary timing shifts, repeat business and new wallets. Adding the same delayed receipts again would inflate growth. Forecast systems prices and volumes are proxies, not published contracted unit guidance.

Manufacturing cost and fixed-cost absorption

The FY2027 systems fixed-cost pool is about USD 121 million, anchored to 45 dollars per USD 1,000 of timely-case systems sales. It grows 3% annually and is paid in both recovery states. It is a LOW proxy for supplier ramp, manufacturing coordination and fixed exposure; it does not claim that Fluence owns every contract factory.

Fiscal year	Timely system GP per $1,000	Slow system GP per $1,000	Services GP per $1,000	Digital GP per $1,000
2027	105	60	250	600
2028	125	90	270	600
2029	130	105	290	600
2030	135	115	300	600
2031	135	120	300	600

The quoted system margin path is an annual analytical assumption. The variable manufacturing rate is calibrated after the full annual fixed pool so a complete fiscal year reproduces that margin. Quarterly fixed costs are paid evenly while sales use the fiscal weights, creating lower margins in quieter quarters. The slow case has higher variable costs as well as weaker fixed-cost absorption.

Ordinary manufacturing depreciation and stock compensation are already inside costs. Extra quality-cost stresses add USD 10 or USD 30 per USD 1,000 of physical system output. Price stresses retain physical costs; lower-volume stresses retain fixed burden. A nominal output ceiling cannot erase readiness or coordination costs in a weak period.

Calendar quarter	Variable COGS	Fixed system pool	Total COGS	Core charges	Project support within charges
Q3 2026	Not split	Not split	847	91	0
Q4 2026	442	30	472	83	0
Q1 2027	530	30	561	86	0

Calendar quarter	Variable COGS	Fixed system pool	Total COGS	Core charges	Project support within charges
Q2 2027	576	30	607	87	0
Q3 2027	666	30	696	90	0
Q4 2027	615	31	646	90	0
Q1 2028	738	31	769	94	0
Q2 2028	799	31	830	96	0
Q3 2028	921	31	953	100	0
Q4 2028	743	32	775	97	0
Q1 2029	888	32	920	101	0
Q2 2029	962	32	994	103	0
Q3 2029	1,110	32	1,142	107	0
Q4 2029	769	33	802	100	0
Q1 2030	923	33	956	104	0
Q2 2030	1,000	33	1,033	107	0
Q3 2030	1,154	33	1,187	111	0
Q4 2030	794	34	828	103	0

Core operating expenses and conditional cost discipline

Latest reported core quarterly operating charges of about USD 91 million are decomposed into a fixed amount of about USD 75 million plus USD 25 for each USD 1,000 of reference sales. The timely state assumes a 10% fixed-cost reduction, reflecting a bounded right-sizing outcome. The slow state receives no reduction. Fixed operating expense then grows 3% each fiscal year.

The 10% reduction is a LOW conditional assumption, not a disclosed saving commitment. It is tied to the same 60% timely recovery state rather than assigned an independent probability and stacked as an unrelated profit event. Additional Vattenfall residual receipts incur a separate combined support allowance of 5%, replacing no other hidden cost pool.

Calendar quarter	Timely fixed core	Slow fixed core	Expected reference variable core	Extra project support	Total expected core charges
Q4 2026	67	75	13	0	83
Q1 2027	67	75	16	0	86
Q2 2027	67	75	17	0	87
Q3 2027	67	75	19	0	90
Q4 2027	69	77	18	0	90
Q1 2028	69	77	22	0	94
Q2 2028	69	77	24	0	96
Q3 2028	69	77	27	0	100
Q4 2028	71	79	22	0	97
Q1 2029	71	79	26	0	101
Q2 2029	71	79	29	0	103
Q3 2029	71	79	33	0	107
Q4 2029	73	81	23	0	100
Q1 2030	73	81	28	0	104
Q2 2030	73	81	30	0	107
Q3 2030	73	81	35	0	111
Q4 2030	75	84	24	0	103

Ordinary R&D, selling, administration, D&A and stock compensation remain in the core-cost convention. Severance and future executive grants are reviewed against existing cost and share allowances; the same grant or vesting event is not added again.

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Vattenfall: a real project with an unknown public contract price

Vattenfall confirmed Fluence's Brunsbuttel contract on 14 October. It covers more than 1 GWh of storage and 254 MW of power, using Gridstack Pro 5000, with turnkey design, procurement, construction, commissioning and long-term service. Construction is expected in 2027 and commercial operation by the end of 2028. Customer release.

Project bridge	Model input	Qualification
Gross project receipt proxy	USD 170 million	LOW: 1 GWh lower proxy times USD 170 million per GWh; not announced contract price
Delivery / realization probability	85%	Signed project strong; timing, execution and funding risks remain
Reference overlap	85%	Most replaces an ordinary European project wallet already in the reference
Remaining residual	15%	No duplicate full-project addition
Expected lifetime extra receipts	About USD 22 million	Gross proxy times probability times residual
Calendar recognition	40% in 2027 / 60% in 2028	POC timing assumption, not an all-at-commissioning rule
Manufacturing / support	Same-period physical variable systems costs plus 5% support	Existing fixed costs retained
Long-term service	Already inside ordinary services forecast	Contract term and service price undisclosed

Calendar quarter	Expected residual sales	Expected residual GP	Support	Net residual OP
Q2 2027	2	0	0	0
Q3 2027	3	0	0	0
Q4 2027	3	0	0	0
Q1 2028	3	0	0	0
Q2 2028	3	0	0	0
Q3 2028	3	0	0	0
Q4 2028	3	0	0	0

The small residual is appropriate because the reference already contains European storage growth. A new customer name cannot establish a second independent industry demand shock. Price, billing milestones, service allocation and complete project margins remain undisclosed.

Demand signals, supplier agreements and explicit overlap decisions

Signal	Probability assessment	Separate modeled addition / reason
FY2027 international backlog	90% timely	Contained in base: USD 1,700 million times 90%
Selective international orders	50% of USD 200 million	USD 100 million expected FY2027 opportunity; not an announced award
EVE multiyear agreement	80% support assessment	Zero separate margin pool: price, quantities and take-or-pay terms undisclosed; reference already assumes global supply
Two hyperscaler MSAs / older awards	50% commercial assessment	Zero separate sales: no guaranteed MSA volumes; developer order already in intake; awards awaiting final orders at August call
Pricing / qualified lead times	25%	A 1% premium on 10% of newly priced FY2028 systems was assessed; full overlap with existing recovery margins, so zero extra profit
SpaceX demand context	35%	Zero separate receipts: no named order or credible company-specific GWh / GW conversion
Law-firm solicitations	20% assessment	No established probable cash obligation; no arbitrary reserve
New COO / departing officer awards	Certain disclosed terms	Dollar-valued future grants overlap annual allowance; accelerated vesting does not create the same award twice

These probabilities are analytical judgments about specific signals, not success probabilities for the entire company. A justified zero increment follows overlap, missing capture or unknown financial terms. It does not mean a positive forward signal is automatically ignored until official confirmation.

The signed EVE supply agreement supports global sourcing and price visibility, while U.S. domestic-content strategy is distinct. Customer investment tax credits, supplier manufacturing credits and the same contract price cannot be stacked as independent Fluence profit sources.

Recurring services and digital economics

Services and digital revenue grow with accepted systems, contracted operating support and software use. The forecast keeps those receipts within the combined U.S. and international budgets. A service contract on Vattenfall is real, but its economics overlap ordinary future service awards and its undisclosed price is not invented.

Additional Benefit: Plugged in On Site

Battery energy storage systems can effectively provide backup power while decreasing reliance on diesel generators – thereby reducing Scope 1 emissions while delivering additional benefits, explored in the next section of this paper.

Attitudes toward diesel generators are changing rapidly among data center operators. Digital infrastructure provider Vertiv has noted that emissions-free alternatives, like large-scale battery storage, are now being considered for "sustained or even continuous operation."[18]

Replacing on-site diesel generators with battery storage allows a data center to become a more flexible participant in the electricity network. On-site storage can perform functions that thermal backup generation cannot, such as peak shaving, providing ancillary services, and preventing curtailment of on-site solar power. This shift enables data centers to transition from being energy "sinks"– inflexible loads – to flexible assets.[19]

In Summary

In the context of the AI boom, large-scale on-site generation paired with storage presents a compelling value proposition:

- Rapid deployment enables data centers to be developed with reduced dependence on the grid, directly addressing one of the primary obstacles for tech players racing to develop more data centers.
- Once grid-connected, data centers with on-site storage become flexible assets, helping to lower system costs.
- Replacing diesel generators for backup power reduces Scope 1 emissions.

EXAMPLE

On-Site Generation for Google

In 2022, Fluence installed a 2.75 MW battery storage system at Google's St. Ghislain data center in Belgium – Google's first zero-emission backup project.

Integrated by Centrica Business Solutions, the system provides clean backup power during outages and participates in the ancillary services market. Using advanced software, the battery serves as part of a virtual power plant, enhancing grid stability and supporting Google's 2030 carbon-free energy goal.

This collaboration highlights how on-site storage can reduce diesel generator reliance, improve grid resilience, and position data centers as flexible, emissions-free energy assets.[20]



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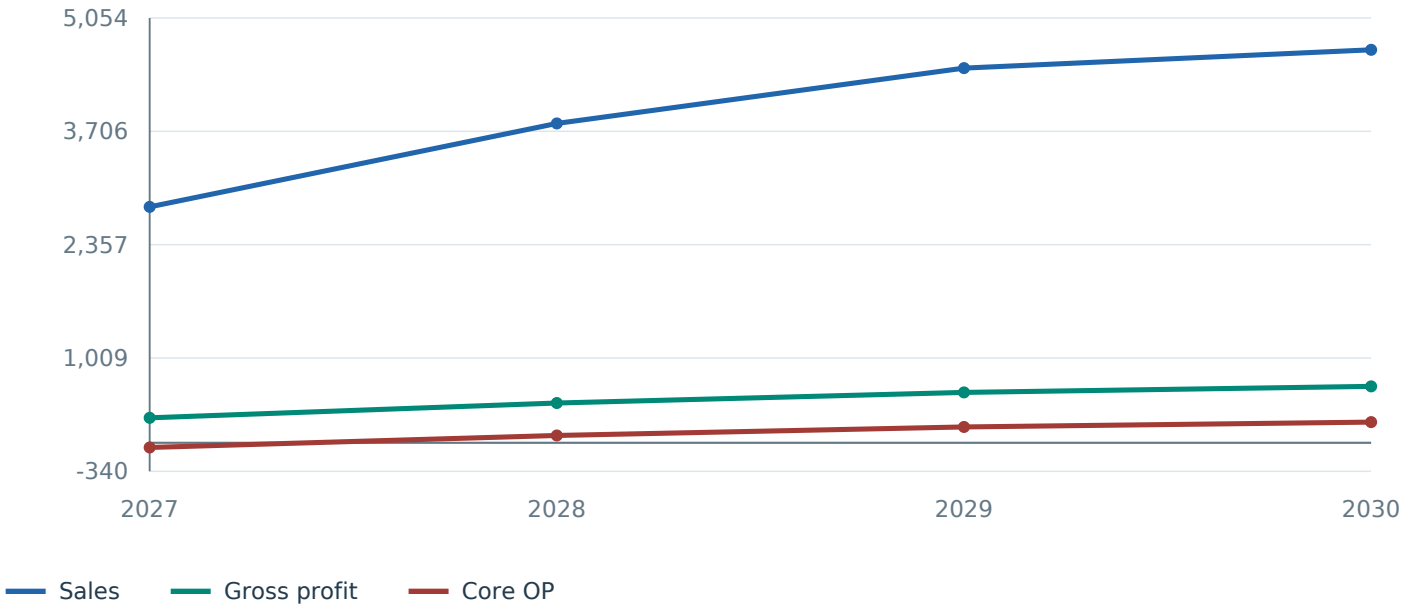
Issuer white paper, copyright 2025, original page 7. A historical Belgium backup-power example illustrates capabilities; it is not a new 2026 Google order or a recurring revenue forecast. Source: original source. Original bytes and image credits are retained.

Issuer ARR is an annualized contracted-value metric that includes software and relevant service arrangements; it is not a substitute for recognized revenue or a projection of the next year's sales. Cash receipts, deferred revenue, service delivery and revenue recognition must be assessed separately.

Calendar annual operating economics

Annual company sales, gross profit and core operating profit

USD million

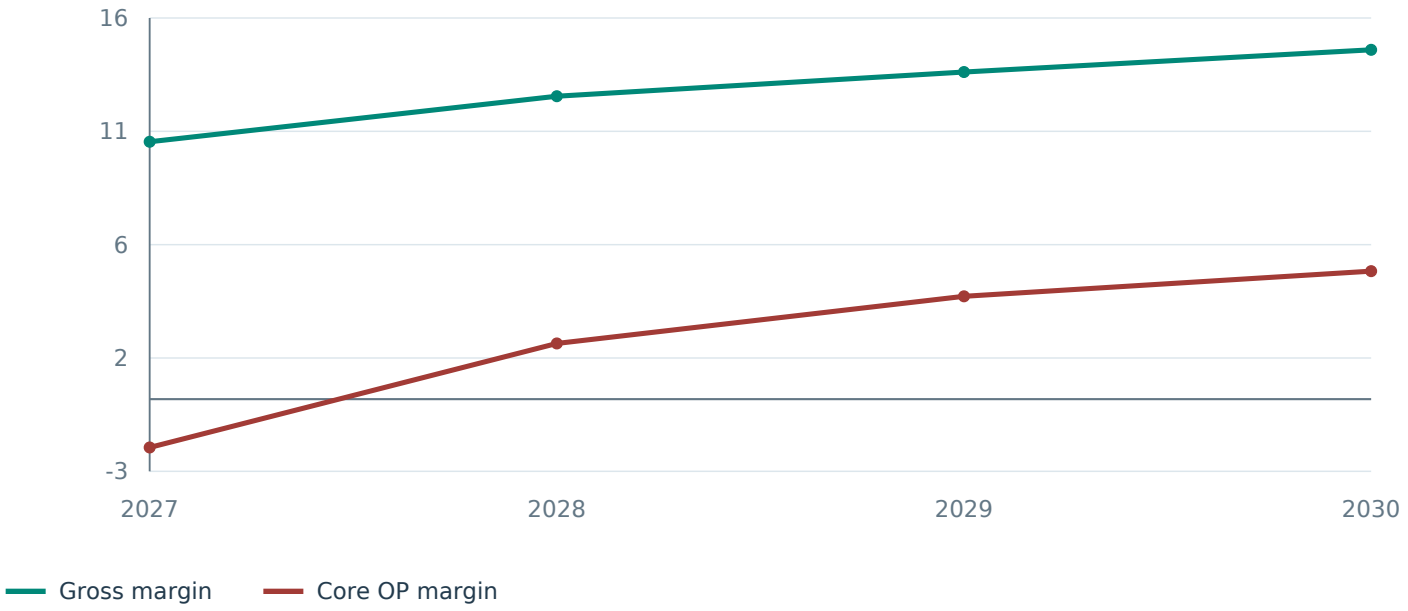


Calendar-year model forecasts. Conditional U.S. recovery states share probability-weighted international assumptions; all-risk and financing coverage is incomplete.

Calendar year	Sales	Gross profit	Core charges	Core OP
2027	2,807	297	353	-56
2028	3,799	473	386	87
2029	4,458	599	411	188
2030	4,675	671	425	246

Margin recovery requires execution and cost control

Percent



Model assumptions, not issued guidance or observed future margins.

Calendar year	Gross margin	Core OP margin
2027	11%	-2%
2028	12%	2%
2029	13%	4%
2030	14%	5%

Storage systems/engineering: full 18-quarter product-cost table

All amounts are USD million. Calendar Q3 2026 is a guide-calibrated estimate; later quarters are model forecasts. Product revenue categories are observed, but future product margins, variable costs and fixed exposure are LOW assumptions. All ordinary manufacturing D&A and stock compensation are retained inside costs.

Calendar quarter	Fiscal period	Sales	Variable COGS	Fixed pool	Total COGS	Gross profit	GM
Q3 2026	FY2026Q4	782	Not split	Not split	827	-45	-6%
Q4 2026	FY2027Q1	491	423	30	453	38	8%

Calendar quarter	Fiscal period	Sales	Variable COGS	Fixed pool	Total COGS	Gross profit	GM
Q1 2027	FY2027Q2	589	507	30	538	52	9%
Q2 2027	FY2027Q3	640	551	30	582	59	9%
Q3 2027	FY2027Q4	740	637	30	667	73	10%
Q4 2027	FY2028Q1	692	590	31	621	71	10%
Q1 2028	FY2028Q2	830	707	31	738	92	11%
Q2 2028	FY2028Q3	899	766	31	797	102	11%
Q3 2028	FY2028Q4	1,037	883	31	915	122	12%
Q4 2028	FY2029Q1	838	711	32	743	94	11%
Q1 2029	FY2029Q2	1,001	850	32	882	119	12%
Q2 2029	FY2029Q3	1,085	921	32	953	132	12%
Q3 2029	FY2029Q4	1,252	1,062	32	1,095	157	13%
Q4 2029	FY2030Q1	866	729	33	763	103	12%
Q1 2030	FY2030Q2	1,039	875	33	908	131	13%
Q2 2030	FY2030Q3	1,126	948	33	981	144	13%
Q3 2030	FY2030Q4	1,299	1,094	33	1,127	172	13%
Q4 2030	FY2031Q1	887	746	34	780	108	12%

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Services: full 18-quarter product-cost table

All amounts are USD million. Calendar Q3 2026 is a guide-calibrated estimate; later quarters are model forecasts. Product revenue categories are observed, but future product margins, variable costs and fixed exposure are LOW assumptions. All ordinary manufacturing D&A and stock compensation are retained inside costs.

Calendar quarter	Fiscal period	Sales	Variable COGS	Fixed pool	Total COGS	Gross profit	GM
Q3 2026	FY2026Q4	25	Not split	Not split	19	6	25%
Q4 2026	FY2027Q1	24	18	0	18	6	25%
Q1 2027	FY2027Q2	29	22	0	22	7	25%
Q2 2027	FY2027Q3	31	23	0	23	8	25%
Q3 2027	FY2027Q4	36	27	0	27	9	25%

Calendar quarter	Fiscal period	Sales	Variable COGS	Fixed pool	Total COGS	Gross profit	GM
Q4 2027	FY2028Q1	32	23	0	23	9	27%
Q1 2028	FY2028Q2	38	28	0	28	10	27%
Q2 2028	FY2028Q3	42	30	0	30	11	27%
Q3 2028	FY2028Q4	48	35	0	35	13	27%
Q4 2028	FY2029Q1	40	28	0	28	12	29%
Q1 2029	FY2029Q2	48	34	0	34	14	29%
Q2 2029	FY2029Q3	52	37	0	37	15	29%
Q3 2029	FY2029Q4	60	43	0	43	17	29%
Q4 2029	FY2030Q1	50	35	0	35	15	30%
Q1 2030	FY2030Q2	60	42	0	42	18	30%
Q2 2030	FY2030Q3	65	46	0	46	20	30%
Q3 2030	FY2030Q4	75	52	0	52	22	30%
Q4 2030	FY2031Q1	60	42	0	42	18	30%

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Digital applications: full 18-quarter product-cost table

All amounts are USD million. Calendar Q3 2026 is a guide-calibrated estimate; later quarters are model forecasts. Product revenue categories are observed, but future product margins, variable costs and fixed exposure are LOW assumptions. All ordinary manufacturing D&A and stock compensation are retained inside costs.

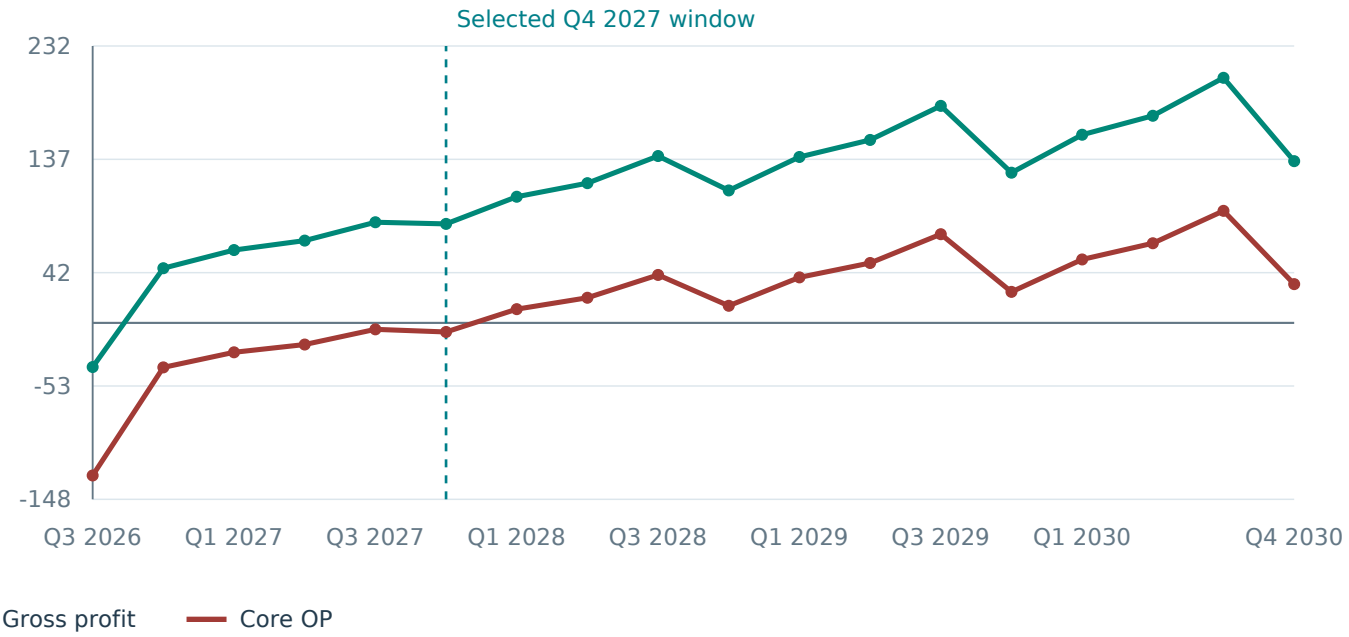
Calendar quarter	Fiscal period	Sales	Variable COGS	Fixed pool	Total COGS	Gross profit	GM
Q3 2026	FY2026Q4	3	Not split	Not split	1	2	60%
Q4 2026	FY2027Q1	3	1	0	1	2	60%
Q1 2027	FY2027Q2	4	1	0	1	2	60%
Q2 2027	FY2027Q3	4	2	0	2	2	60%
Q3 2027	FY2027Q4	4	2	0	2	3	60%
Q4 2027	FY2028Q1	5	2	0	2	3	60%
Q1 2028	FY2028Q2	6	2	0	2	4	60%

Calendar quarter	Fiscal period	Sales	Variable COGS	Fixed pool	Total COGS	Gross profit	GM
Q2 2028	FY2028Q3	6	3	0	3	4	60%
Q3 2028	FY2028Q4	8	3	0	3	4	60%
Q4 2028	FY2029Q1	8	3	0	3	5	60%
Q1 2029	FY2029Q2	10	4	0	4	6	60%
Q2 2029	FY2029Q3	10	4	0	4	6	60%
Q3 2029	FY2029Q4	12	5	0	5	7	60%
Q4 2029	FY2030Q1	12	5	0	5	7	60%
Q1 2030	FY2030Q2	14	6	0	6	9	60%
Q2 2030	FY2030Q3	16	6	0	6	9	60%
Q3 2030	FY2030Q4	18	7	0	7	11	60%
Q4 2030	FY2031Q1	16	6	0	6	10	60%

Consolidated 18-quarter operating result

Quarterly profit after manufacturing and core charges

USD million



First observation preliminary-derived; remaining observations conditional forecasts. Fiscal mapping is explicit in the model.

Calendar quarter	Sales	Gross profit	Core charges	Core OP	GM	OP margin
Q3 2026	810	-37	91	-128	-5%	-16%
Q4 2026	518	46	83	-37	9%	-7%
Q1 2027	622	61	86	-25	10%	-4%
Q2 2027	676	69	87	-18	10%	-3%
Q3 2027	780	84	90	-5	11%	-1%
Q4 2027	729	83	90	-8	11%	-1%
Q1 2028	874	106	94	11	12%	1%
Q2 2028	947	117	96	21	12%	2%
Q3 2028	1,092	140	100	40	13%	4%
Q4 2028	886	111	97	14	13%	2%
Q1 2029	1,059	139	101	38	13%	4%
Q2 2029	1,147	153	103	50	13%	4%

Calendar quarter	Sales	Gross profit	Core charges	Core OP	GM	OP margin
Q3 2029	1,324	182	107	74	14%	6%
Q4 2029	928	126	100	26	14%	3%
Q1 2030	1,114	157	104	53	14%	5%
Q2 2030	1,206	173	107	67	14%	6%
Q3 2030	1,392	205	111	94	15%	7%
Q4 2030	963	135	103	32	14%	3%

The model runs from Q3 2026 through Q4 2030. Those 18 operating quarters support 15 current-plus-next-three-quarter valuation windows. The selected valuation window starts in Q4 2027, which is fiscal FY2028 Q1.

Joint recovery states and full paid-cost exposure

Each quarter has 60% timely manual-ramp/cost-discipline weight and 40% slower weight. Fixed systems burden is paid in both states. The slow state has weaker U.S. revenue, poorer variable manufacturing economics and no core fixed-cost cut. Project residual probability and international assumptions are shared conditional inputs.

Calendar quarter	Joint state	Weight	Sales	Gross profit	Core charges	Core OP
Q4 2026	Timely	60%	566	58	81	-23
Q4 2026	Slower	40%	446	27	86	-59
Q1 2027	Timely	60%	679	76	84	-8
Q1 2027	Slower	40%	535	38	88	-50
Q2 2027	Timely	60%	738	85	86	0
Q2 2027	Slower	40%	582	44	89	-45
Q3 2027	Timely	60%	852	103	88	15
Q3 2027	Slower	40%	672	56	91	-36
Q4 2027	Timely	60%	753	95	88	7
Q4 2027	Slower	40%	693	65	94	-30
Q1 2028	Timely	60%	903	120	92	28
Q1 2028	Slower	40%	831	84	98	-14

Calendar quarter	Joint state	Weight	Sales	Gross profit	Core charges	Core OP
Q2 2028	Timely	60%	978	133	94	39
Q2 2028	Slower	40%	900	93	99	-6
Q3 2028	Timely	60%	1,128	158	97	61
Q3 2028	Slower	40%	1,038	112	103	9
Q4 2028	Timely	60%	903	121	94	27
Q4 2028	Slower	40%	859	95	101	-5
Q1 2029	Timely	60%	1,080	151	98	53
Q1 2029	Slower	40%	1,027	120	105	15
Q2 2029	Timely	60%	1,170	167	100	66
Q2 2029	Slower	40%	1,113	133	107	26
Q3 2029	Timely	60%	1,350	197	105	92
Q3 2029	Slower	40%	1,284	158	111	47
Q4 2029	Timely	60%	940	134	97	37
Q4 2029	Slower	40%	910	113	104	9
Q1 2030	Timely	60%	1,128	168	101	66
Q1 2030	Slower	40%	1,092	142	109	34
Q2 2030	Timely	60%	1,222	184	104	80
Q2 2030	Slower	40%	1,183	157	111	46
Q3 2030	Timely	60%	1,410	218	109	109
Q3 2030	Slower	40%	1,365	186	116	71
Q4 2030	Timely	60%	975	142	100	42
Q4 2030	Slower	40%	946	125	108	18

These weights describe a specified operating recovery, not all possible insolvency, new-capital, covenant, regulatory or customer-loss outcomes. A financing failure is not fully captured by moving from the timely to the slower operating case. The ceiling is therefore conditional on continued ability to fund the modeled activity.

Working capital and liquidity: cash has several different meanings

June 2026 actual balance / cash item	USD million	Meaning
Unrestricted cash	339	Dated cash available before later changes
Restricted cash	26	Separate; not freely spendable
Management total liquidity	863	Includes facility capacity; not cash
Inventory	783	Cash committed to physical products
Supplier advances	226	Cash paid before supply / project receipts
Trade / unbilled / related receivables	350 / 328 / 109	Different collection and recognition stages
Deferred and related deferred revenue	1,014	Customer cash / obligations already in the balance sheet
Defined net operating working capital	488	Selected operating assets less AP and deferred revenue; not cash
Nine-month operating cash flow	-367	Reported cash outflow
Nine-month issuer FCF	-299	Definition includes supply-chain-finance adjustments and PPE capex; software capex is outside it

Revenue recognition under project progress can precede cash or substantial completion. Customer advances can improve funding while creating obligations to deliver. The company's neutral-to-positive FY2027 operating-cash-flow objective is not proof that all modeled growth or future refinancing is already financed.

Funding constraints, procurement obligations and a chosen cash-buffer stress

Constraint	Primary amount / term	Implication
Revolver	USD 500 million commitment; USD 150 million cash-draw sublimit	Letters of credit and covenants restrict use
Letters of credit	USD 193 million at June; USD 307 million remaining nominal availability	Remaining availability is not the same as unrestricted cash
Collateral trigger	USD 50 million if revolving credit extensions exceed USD 450 million	More use may consume cash
Total Liquidity covenant	USD 150 million through December 2026; USD 100 million thereafter	Defined contractual term; not asserted to equal unrestricted cash alone
Leverage test	Maximum USD 350 per USD 100 of contract-defined earnings from January 2027	Exact equivalent of the contractual ratio; not rounded to a looser limit
Facility maturity	22 November 2027	Renewal or replacement needed near the selected valuation window
Supplier minimum purchases	2,913 million	Less order acceptance need not release all commitments
Potential supplier shortfall damages	396 million	Contractual exposure; not assumed fully payable
Convertible principal	USD 400 million due June 2030	Cash principal is a model election assumption; funding / refinancing still needed

The maximum leverage ratio is equivalent to USD 350 per USD 100, using the credit agreement's own debt and earnings definitions. The ratio is a legal covenant, not a forecast margin or a cash-balance test.

Conservative cash-buffer illustration	USD million	Limit
Dated unrestricted June cash	339	No later cash-flow forecast inferred
Chosen cash buffer	100	Analytical reserve proxy, not contractual Total Liquidity headroom
Cash above chosen buffer	239	Before subsequent cash use or financing
After USD 100 million additional cash need	139	Before working-capital release / borrowing changes
After USD 200 million additional cash need	39	Same limited scope

Conservative cash-buffer illustration	USD million	Limit
After USD 300 million additional cash need	-61	Illustrates a funding need; does not establish actual covenant failure

The report distinguishes this chosen unrestricted-cash buffer from the management liquidity metric and contractual Total Liquidity. It does not count a hypothetical equity raise as current cash or imply that all capacity remains available under stress.

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Warranty, capital allocation and legal risks

Gross warranty obligations were about USD 57 million versus supplier-recovery assets of about USD 28 million. Full supplier recovery is not assumed. New product execution, claims and procurement commitments can add costs beyond normal gross-margin assumptions.

The filing discloses litigation and an SEC investigation; those are retained as risks. Law-firm solicitations do not establish damages or a probable cash liability. The disclosed social-engineering incident had no identified operational or customer-environment impact at the filing date; no invented charge is applied.

Customer tax credits and domestic-content rules can affect qualification and willingness to pay, but customer benefits are not automatically company revenue. Policy, tariffs, battery sourcing and product compliance remain conditional. The global EVE agreement does not by itself prove U.S. domestic-content qualification.

In Summary

Renewable energy hybrid projects are well suited to meet the growing demand for long-duration clean power from data centers. With rising energy needs, tech companies are expected to accelerate long-term PPAs with renewable-hybrid project owners and developers in current market conditions.

Key benefits of hybrid solar-storage projects include:

- Delivering the firm capacity needed to support data center expansion.
- Leveraging tech companies' large balance sheets and energy needs, making them ideal candidates for long-term, clean power PPAs with hybrid projects.
- Avoiding grid bottlenecks that slow PPA transactions, as storage hybridization can alleviate congestion.
- Enhancing cost competitiveness through declining battery prices and additional revenue streams, such as energy arbitrage trading.

Battery Storage under PPA

PPAs with battery energy storage are becoming more common. In December 2023, Meta signed a solar-plus-storage PPA with clean energy developer and Independent Power Producer (IPP) Ørsted, contracting most of the output from the Eleven Mile Solar Center in Arizona.[35]

The project includes a 300 MW solar farm paired with a 300 MW / 1200 MWh energy storage system supplied by Fluence, supplying Meta's data center with 24/7 reliable and clean power. Any excess energy supports local utility customers, enhancing grid stability.

Salt River Project (SRP), the local utility, has actively promoted solar and storage in Arizona and plans to expand to 1.1 GW of battery storage by the end of 2024, with a goal of adding 7 GW of renewables by 2035.

The Meta deal reflects a growing trend among tech companies. In 2023, AES Clean Energy contracted more than 1 GW of storage, securing similar clean power deals for Amazon, Google, and Microsoft.[36]



Photo courtesy of Ørsted

Issuer white paper, copyright 2025, original page 10. Historic renewable-plus-storage project photograph and original credit are preserved. Its older examples and forecasts are technical context rather than new 2026 order evidence. Source: original source. Original bytes and image credits are retained.

Economic ownership, awards and convertible terms

Share / funding item	Whole million shares unless stated	Treatment
Reported Class A at July	143	Legal common shares
Paired LLC economic interests	41	Economic claims paired with Class B; count once
Total economic interests	185	Class A plus LLC; do not add paired Class B again
Existing award proxy	4	Options, RSUs and target PSUs; conservative outstanding proxy
Annual future awards	2	Saved model allowance; new executive grants reviewed for overlap
May secondary sale	23	Holder sales; zero company proceeds
Convertible underlying full shares	19	Subject to legal terms, timing and settlement election
Convertible coupon	USD 225 interest per USD 10,000 principal annually	Exact rate retained in sources
Cash principal election	USD 400 million due 2030	Existing model assumption, not mandatory settlement
Capped-call hedge	Initial conversion about USD 21; cap about USD 29	Performance and counterparty / contract terms matter

The exact saved 18-quarter economic denominator is retained. It includes a net convert/capped-call proxy in later quarters and does not recompute that proxy from the new price estimate. The model's quarterly share schedule is a valuation convention, not reported future GAAP diluted weighted-average shares.

The full-underlying-share diagnostic adds roughly 19 million shares on top of that saved denominator. It is a conservative additive dilution stress, not an exact replacement of the embedded net-settlement proxy by legal full-share settlement. A true settlement calculation would have to reconcile the embedded proxy, principal settlement choice and hedge terms.

Calendar quarter	Economic share proxy million	OP x	FX
Q3 2026	189	20	1
Q4 2026	189	20	1
Q1 2027	192	20	1
Q2 2027	192	20	1
Q3 2027	192	20	1
Q4 2027	192	20	1

Calendar quarter	Economic share proxy million	OP x	FX
Q1 2028	196	20	1
Q2 2028	196	20	1
Q3 2028	196	20	1
Q4 2028	196	20	1
Q1 2029	200	20	1
Q2 2029	200	20	1
Q3 2029	200	20	1
Q4 2029	200	20	1
Q1 2030	204	20	1
Q2 2030	204	20	1
Q3 2030	204	20	1
Q4 2030	204	20	1

Valuation: explicit earnings windows and loss-period limits

The ceiling convention is 20 times current-plus-next-three-quarter reconstructed core GAAP OP divided by the starting quarter's saved economic share proxy. There is no new multiple, risk factor, separate debt subtraction or analyst price target. Operating amounts and share counts both use millions, so the result is USD per share.

Q4 2027 is the selected valuation quarter for reviews dated October through December 2026. Its earnings window is Q4 2027 through Q3 2028. A horizon roll changes the selected earnings window and is separate from an economic forecast revision.

Signed forward four-quarter OP formula across all valuation windows

USD per share



Negative loss-window outputs are raw formula diagnostics, not meaningful positive equity targets or predictions of a negative stock price. Later values are conditional model ceilings.

Valuation quarter	Four-quarter core OP	OP x	Shares million	Raw formula	Interpretation
Q3 2026	-208	20	189	-22	Loss window: no meaningful positive target
Q4 2026	-85	20	189	-9	Loss window: no meaningful positive target
Q1 2027	-56	20	192	-6	Loss window: no meaningful positive target
Q2 2027	-20	20	192	-2	Loss window: no meaningful positive target
Q3 2027	20	20	192	2	Conditional ceiling
Q4 2027	65	20	192	7	Conditional ceiling
Q1 2028	87	20	196	9	Conditional ceiling
Q2 2028	114	20	196	12	Conditional ceiling
Q3 2028	143	20	196	15	Conditional ceiling
Q4 2028	177	20	196	18	Conditional ceiling
Q1 2029	188	20	200	19	Conditional ceiling
Q2 2029	203	20	200	20	Conditional ceiling

Valuation quarter	Four-quarter core OP	OP x	Shares million	Raw formula	Interpretation
Q3 2029	220	20	200	22	Conditional ceiling
Q4 2029	239	20	200	24	Conditional ceiling
Q1 2030	246	20	204	24	Conditional ceiling

The selected window contains about USD 65 million of core OP and produces about USD 7 per share using the exact denominator. This estimate is conditional on financing access and the specified operating recovery. It is not a complete all-risk equity valuation. No price-dependent upside or portfolio rank is used in this clean-state report.

Valuation derivation: Q3 2026

Calendar earnings quarter	Fiscal period	Sales	Gross profit	Core charges	Core OP
Q3 2026	FY2026Q4	810	-37	91	-128
Q4 2026	FY2027Q1	518	46	83	-37
Q1 2027	FY2027Q2	622	61	86	-25
Q2 2027	FY2027Q3	676	69	87	-18

Four-quarter OP	OP x	Shares million	FX	Raw USD / share
-208	20	189	1	-22

This is a loss window. The signed raw formula is preserved, but it supplies no meaningful positive equity target; it does not imply a negative fundamental stock price. The four exact constituent profits are summed, multiplied by 20 and divided by the exact starting-quarter economic share proxy. Reader values are rounded; operating amounts are USD million.

Valuation derivation: Q4 2026

Calendar earnings quarter	Fiscal period	Sales	Gross profit	Core charges	Core OP
Q4 2026	FY2027Q1	518	46	83	-37
Q1 2027	FY2027Q2	622	61	86	-25
Q2 2027	FY2027Q3	676	69	87	-18
Q3 2027	FY2027Q4	780	84	90	-5

Four-quarter OP	OP x	Shares million	FX	Raw USD / share
-85	20	189	1	-9

This is a loss window. The signed raw formula is preserved, but it supplies no meaningful positive equity target; it does not imply a negative fundamental stock price. The four exact constituent profits are summed, multiplied by 20 and divided by the exact starting-quarter economic share proxy. Reader values are rounded; operating amounts are USD million.

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Valuation derivation: Q1 2027

Calendar earnings quarter	Fiscal period	Sales	Gross profit	Core charges	Core OP
Q1 2027	FY2027Q2	622	61	86	-25
Q2 2027	FY2027Q3	676	69	87	-18
Q3 2027	FY2027Q4	780	84	90	-5
Q4 2027	FY2028Q1	729	83	90	-8

Four-quarter OP	OP x	Shares million	FX	Raw USD / share
-56	20	192	1	-6

This is a loss window. The signed raw formula is preserved, but it supplies no meaningful positive equity target; it does not imply a negative fundamental stock price. The four exact constituent profits are summed, multiplied by 20 and divided by the exact starting-quarter economic share proxy. Reader values are rounded; operating amounts are USD million.

Valuation derivation: Q2 2027

Calendar earnings quarter	Fiscal period	Sales	Gross profit	Core charges	Core OP
Q2 2027	FY2027Q3	676	69	87	-18
Q3 2027	FY2027Q4	780	84	90	-5
Q4 2027	FY2028Q1	729	83	90	-8
Q1 2028	FY2028Q2	874	106	94	11

Four-quarter OP	OP x	Shares million	FX	Raw USD / share
-20	20	192	1	-2

This is a loss window. The signed raw formula is preserved, but it supplies no meaningful positive equity target; it does not imply a negative fundamental stock price. The four exact constituent profits are summed, multiplied by 20 and divided by the exact starting-quarter economic share proxy. Reader values are rounded; operating amounts are USD million.

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Valuation derivation: Q3 2027

Calendar earnings quarter	Fiscal period	Sales	Gross profit	Core charges	Core OP
Q3 2027	FY2027Q4	780	84	90	-5
Q4 2027	FY2028Q1	729	83	90	-8
Q1 2028	FY2028Q2	874	106	94	11
Q2 2028	FY2028Q3	947	117	96	21

Four-quarter OP	OP x	Shares million	FX	Raw USD / share
20	20	192	1	2

This is a conditional core-OP ceiling. The four exact constituent profits are summed, multiplied by 20 and divided by the exact starting-quarter economic share proxy. Reader values are rounded; operating amounts are USD million.

Selected valuation: Q4 2027

Calendar earnings quarter	Fiscal period	Sales	Gross profit	Core charges	Core OP
Q4 2027	FY2028Q1	729	83	90	-8
Q1 2028	FY2028Q2	874	106	94	11
Q2 2028	FY2028Q3	947	117	96	21
Q3 2028	FY2028Q4	1,092	140	100	40

Four-quarter OP	OP x	Shares million	FX	Raw USD / share
65	20	192	1	7

This is a conditional core-OP ceiling. The selected Q4 2027 window is highlighted here. The four exact constituent profits are summed, multiplied by 20 and divided by the exact starting-quarter economic share proxy. Reader values are rounded; operating amounts are USD million.

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Valuation derivation: Q1 2028

Calendar earnings quarter	Fiscal period	Sales	Gross profit	Core charges	Core OP
Q1 2028	FY2028Q2	874	106	94	11
Q2 2028	FY2028Q3	947	117	96	21
Q3 2028	FY2028Q4	1,092	140	100	40
Q4 2028	FY2029Q1	886	111	97	14

Four-quarter OP	OP x	Shares million	FX	Raw USD / share
87	20	196	1	9

This is a conditional core-OP ceiling. The four exact constituent profits are summed, multiplied by 20 and divided by the exact starting-quarter economic share proxy. Reader values are rounded; operating amounts are USD million.

Valuation derivation: Q2 2028

Calendar earnings quarter	Fiscal period	Sales	Gross profit	Core charges	Core OP
Q2 2028	FY2028Q3	947	117	96	21
Q3 2028	FY2028Q4	1,092	140	100	40
Q4 2028	FY2029Q1	886	111	97	14
Q1 2029	FY2029Q2	1,059	139	101	38

Four-quarter OP	OP x	Shares million	FX	Raw USD / share
114	20	196	1	12

This is a conditional core-OP ceiling. The four exact constituent profits are summed, multiplied by 20 and divided by the exact starting-quarter economic share proxy. Reader values are rounded; operating amounts are USD million.

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Valuation derivation: Q3 2028

Calendar earnings quarter	Fiscal period	Sales	Gross profit	Core charges	Core OP
Q3 2028	FY2028Q4	1,092	140	100	40
Q4 2028	FY2029Q1	886	111	97	14
Q1 2029	FY2029Q2	1,059	139	101	38
Q2 2029	FY2029Q3	1,147	153	103	50

Four-quarter OP	OP x	Shares million	FX	Raw USD / share
143	20	196	1	15

This is a conditional core-OP ceiling. The four exact constituent profits are summed, multiplied by 20 and divided by the exact starting-quarter economic share proxy. Reader values are rounded; operating amounts are USD million.

Valuation derivation: Q4 2028

Calendar earnings quarter	Fiscal period	Sales	Gross profit	Core charges	Core OP
Q4 2028	FY2029Q1	886	111	97	14
Q1 2029	FY2029Q2	1,059	139	101	38
Q2 2029	FY2029Q3	1,147	153	103	50
Q3 2029	FY2029Q4	1,324	182	107	74

Four-quarter OP	OP x	Shares million	FX	Raw USD / share
177	20	196	1	18

This is a conditional core-OP ceiling. The four exact constituent profits are summed, multiplied by 20 and divided by the exact starting-quarter economic share proxy. Reader values are rounded; operating amounts are USD million.

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Valuation derivation: Q1 2029

Calendar earnings quarter	Fiscal period	Sales	Gross profit	Core charges	Core OP
Q1 2029	FY2029Q2	1,059	139	101	38
Q2 2029	FY2029Q3	1,147	153	103	50
Q3 2029	FY2029Q4	1,324	182	107	74
Q4 2029	FY2030Q1	928	126	100	26

Four-quarter OP	OP x	Shares million	FX	Raw USD / share
188	20	200	1	19

This is a conditional core-OP ceiling. The four exact constituent profits are summed, multiplied by 20 and divided by the exact starting-quarter economic share proxy. Reader values are rounded; operating amounts are USD million.

Valuation derivation: Q2 2029

Calendar earnings quarter	Fiscal period	Sales	Gross profit	Core charges	Core OP
Q2 2029	FY2029Q3	1,147	153	103	50
Q3 2029	FY2029Q4	1,324	182	107	74
Q4 2029	FY2030Q1	928	126	100	26
Q1 2030	FY2030Q2	1,114	157	104	53

Four-quarter OP	OP x	Shares million	FX	Raw USD / share
203	20	200	1	20

This is a conditional core-OP ceiling. The four exact constituent profits are summed, multiplied by 20 and divided by the exact starting-quarter economic share proxy. Reader values are rounded; operating amounts are USD million.

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Valuation derivation: Q3 2029

Calendar earnings quarter	Fiscal period	Sales	Gross profit	Core charges	Core OP
Q3 2029	FY2029Q4	1,324	182	107	74
Q4 2029	FY2030Q1	928	126	100	26
Q1 2030	FY2030Q2	1,114	157	104	53
Q2 2030	FY2030Q3	1,206	173	107	67

Four-quarter OP	OP x	Shares million	FX	Raw USD / share
220	20	200	1	22

This is a conditional core-OP ceiling. The four exact constituent profits are summed, multiplied by 20 and divided by the exact starting-quarter economic share proxy. Reader values are rounded; operating amounts are USD million.

Valuation derivation: Q4 2029

Calendar earnings quarter	Fiscal period	Sales	Gross profit	Core charges	Core OP
Q4 2029	FY2030Q1	928	126	100	26
Q1 2030	FY2030Q2	1,114	157	104	53
Q2 2030	FY2030Q3	1,206	173	107	67
Q3 2030	FY2030Q4	1,392	205	111	94

Four-quarter OP	OP x	Shares million	FX	Raw USD / share
239	20	200	1	24

This is a conditional core-OP ceiling. The four exact constituent profits are summed, multiplied by 20 and divided by the exact starting-quarter economic share proxy. Reader values are rounded; operating amounts are USD million.

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Valuation derivation: Q1 2030

Calendar earnings quarter	Fiscal period	Sales	Gross profit	Core charges	Core OP
Q1 2030	FY2030Q2	1,114	157	104	53
Q2 2030	FY2030Q3	1,206	173	107	67
Q3 2030	FY2030Q4	1,392	205	111	94
Q4 2030	FY2031Q1	963	135	103	32

Four-quarter OP	OP x	Shares million	FX	Raw USD / share
246	20	204	1	24

This is a conditional core-OP ceiling. The four exact constituent profits are summed, multiplied by 20 and divided by the exact starting-quarter economic share proxy. Reader values are rounded; operating amounts are USD million.

All 32 controlled diagnostics

Each diagnostic changes the stated input while keeping the specified remaining model assumptions fixed. They are not probability weights to combine, and the zero fixed-burden case is an arithmetic control rather than a plausible cost-free factory. Near-term D&A and stock-compensation tests affect only the guide-calibrated quarter.

Controlled input	Near-term core OP	Q3 2026 raw formula	Q4 2027 raw formula	Q1 2030 raw formula
Active	-128	-22	7	24
100% timely recovery	-128	-17	14	29
100% slower ramp	-128	-30	-4	16
30% timely recovery	-128	-26	1	20
90% timely recovery	-128	-18	12	28
FY2027 international 85% timely	-128	-23	7	24
FY2027 international 100% timely	-128	-21	7	24
No extra FY2027 international orders	-128	-23	7	24
Full USD 200 million extra international orders	-128	-21	7	24
10% fewer U.S. accepted receipts	-128	-23	5	21
20% fewer U.S. accepted receipts	-128	-24	2	18
10% fewer international receipts	-128	-23	4	21
Double fixed systems burden	-128	-32	-6	11
Zero fixed systems burden (diagnostic)	-128	-12	20	37
Extra USD 10 cost per USD 1,000 physical output	-128	-24	3	20
Extra USD 30 cost per USD 1,000 physical output	-128	-27	-4	11
No fixed core-cost reduction	-128	-23	5	22
20% timely-case fixed core-cost reduction	-128	-21	9	26
5% fixed core-cost inflation	-128	-22	6	22
5% lower system prices; physical cost unchanged	-128	-31	-11	3
10% lower system prices; physical cost unchanged	-128	-40	-28	-17
No new Vattenfall residual	-128	-22	7	24
Full signed-project realization	-128	-22	7	24
No Vattenfall reference overlap	-128	-22	8	24

Controlled input	Near-term core OP	Q3 2026 raw formula	Q4 2027 raw formula	Q1 2030 raw formula
Full Vattenfall reference overlap	-128	-22	7	24
USD 100 million new equity at USD 6	-128	-20	6	22
USD 200 million new equity at USD 6	-128	-19	6	21
Additional full convert-underlying dilution on saved proxy	-128	-20	6	22
Near-term D&A USD 9 million	-125	-22	7	24
Near-term D&A USD 15 million	-131	-22	7	24
Near-term SBC USD 4 million	-126	-22	7	24
Near-term SBC USD 7 million	-129	-22	7	24

Operating results are USD million; formula results are USD per share. Negative values remain loss-window diagnostics. Equity stresses change dilution only; they do not automatically inject cash into an operating forecast. The convert stress is additive on the saved share proxy rather than an exact alternative settlement calculation.

Execution, quality and pricing matter more than the small project residual

Selected Q4 2027 controlled sensitivities

USD per share



Controlled sensitivities, not a distribution or trend. Negative outputs are loss-window arithmetic, not positive equity targets.

Controlled case	Q4 2027 raw formula
Active	7
100% timely recovery	14
100% slower ramp	-4
Double fixed systems burden	-6
Extra USD 10 cost per USD 1,000 physical output	3
No fixed core-cost reduction	5
5% lower system prices; physical cost unchanged	-11
USD 100 million new equity at USD 6	6

The Vattenfall residual is deliberately small after overlap. The dominant questions are whether enough U.S. systems can be recognized at normal physical costs, whether fixed expenses can be controlled and whether a weaker price environment leaves adequate project margins. A data-center demand headline does not answer those questions.

Full analytical scorecard and the protected Excel Base

Category	Points / maximum	Assessment
Core thesis	14 / 20	Controls, integration and customer qualification provide value, with capable competing integrators and cell suppliers.
Cycle stage	3 / 10	Repeated guidance cuts, manual welding, quality and recognition friction; recovery remains unproved.
TAM expansion	7 / 10	Grid storage and AI power-quality use cases grow, but accepted output and project economics constrain capture.
Catalysts	4 / 5	FY2026 results, Houston throughput, cash terms, backlog conversion and Vattenfall milestones.
Macro	7 / 10	Grid and AI power investment support demand; policy, pricing and funding constraints remain.
Alpha	3 / 5	Separate penalties from deferred sales; calibrate physical capacity, ordinary costs, cash and GAAP bridges.
Risks	-6 deduction	Factory / quality -2; margin / warranty -1; cash / covenants / financing -2; competition / procurement -1.

Positive categories total 38; a 6-point risk deduction leaves 32 out of 60, or an analytical score of 53 out of 100 after whole-number display. The protected Excel Base remains 60. Analytical judgment is separate from the owner-controlled portfolio score and from the operating-state probabilities.

A higher score requires sustained qualified output, credible net margins and positive operating cash conversion without relying on undefined facility availability. A lower score follows more missed milestones, persistent quality costs, unaffordable supplier obligations or evidence of financing that materially impairs existing shareholders.

Latest two earnings calls and the additional guidance call

Management event	Substantive record reviewed	Completeness
7 May fiscal Q2 earnings call	Prepared remarks, every visible analyst exchange, management and operator closing.	Full accessible speech reproduction; automated transcript errors present; official audio unverified.
6 August fiscal Q3 earnings call	Prepared remarks, every visible analyst exchange, management and operator closing.	Latest earnings call reproduction published 12 August; primary financial release / filing control exact numbers.
16 September guidance update	Visible prepared remarks and all 39 visible segments through management / operator closing.	Additional update, not a substitute for the two earnings calls. Provider has a generic first-half access footer; official completeness not claimed.
Primary September slides	All six slide pages of extracted primary text.	Original PDF bytes could not be downloaded; financial bridge and framework verified from preserved primary text.
Original official webcast pages	Captured JavaScript shells.	A functioning URL or shell is not verified audio or a transcript.

May established demand and data-center qualification context. August exposed facility delays, lower gross margin and the international supply-agreement charge. September supplied a much weaker preliminary guide and a manual-production recovery framework. Earlier guide ranges are not current expectations, and customer questions or transcript transcription errors do not override primary financial tables.

Risks, disconfirming evidence and next model triggers

Risk / assumption	Disconfirming evidence	Next test
Manual manufacturing recovery	Output stalls, inspection failures or more penalties.	Actual quarterly U.S. production and accepted project progress
Margin normalization	Low yields, expensive labor or battery/EPC cost revisions.	GAAP gross profit and reconciled unit economics
Cost discipline	Fixed expenses remain high despite lower project throughput.	Reported GAAP core charges after restructuring costs
Conditional international receipts	Projects delay, customer finance weakens or capacity is unavailable.	Named accepted awards, cash terms and project-restricted cost milestones
Liquidity and covenants	Cash use, collateral or lender constraints exhaust useful headroom.	Current cash / restricted balances, defined covenant compliance and refinancing
Supplier obligations	Procurement minimums are incompatible with reduced output.	Updated commitments, amendments, settlements and warranty recovery
Vattenfall schedule	Construction or customer readiness shifts.	2027 procurement / construction and expected end-2028 operation
Dilution / convert funding	Equity financing or cash-principal assumption fails.	Actual issued shares, grant delivery, settlement election and hedge status

New credible evidence can change the model before official confirmation when eligible volume, probability, overlap, net manufacturing/support costs, timing and financing can be bounded. The open funding, capacity, source and recognition gaps remain explicit; this review does not force a numerical addition for every relevant headline.

Source register and exact completeness limits

Source	Date / scope	Read status
F01M	2026-08-05	Full issuer release, statements, GAAP/non-GAAP reconciliation and definitions. SEC-issued document on a public mirror.
F02M	2026-08-05	Latest 10-Q: statements, relevant revenue/debt/shares/warranty/commitment notes and MD&A/risk sections. Mirror bytes retained; no claim of reviewing every legal/tax detail.
F08M	2026-09-16	Full preliminary FY2026 guide release; no complete forward GAAP reconciliation.
F19	2026-09-16	All six primary slide pages extracted; original PDF bytes unavailable.
F14	2026-08-06 event; reproduction2026-08-12	Full visible August management speech/Q&A/closing reproduction; secondary hosting, transcription errors and no verified official audio.
F15	2026-05-07	Full visible May management speech/Q&A/closing reproduction; same limitations.
F20	2026-09-16	September 39 visible segments through closing; generic first-half footer and no verified official audio.
F23	2026-10-14	Full primary customer release; contract scope and timing, price / margin undisclosed.
F24B	2026-09-24	Complete issuer-authored syndicated supply-agreement body; quantities, price and take-or-pay undisclosed.
F26	2025 copyright; specificpub licationdaynotverified	All 13 pages of original issuer technical white paper read; copyright 2025, older examples and forecasts are context.
F31	2026-10-14	Customer-published 2026 equipment illustration; not a completed project photograph.
F28M	2026-09-16	Full September 8-K management-change disclosure.
F29M	2026-09-14	Full executive offer letter: future dollar-valued awards require grant-date share calculation.
F21M	2026-10-09	Full October 8-K departure / compensation disclosure.
F22M	2026-10-08	Payment and award terms reviewed; remainder of legal release preserved without claiming exhaustive legal review.
F03B	2026-08-06	August primary deck text through relevant operating / financial pages; original PDF unavailable.
F03C	2026-08-06	Overlapping August reconciliation pages; last footnote tail may be truncated.
F06B	2026-05-07	Partial May primary deck text; old guidance superseded, full PDF not claimed.

Official IR and SEC downloads often returned HTTP errors. Original issuer filings retrieved from public SEC mirrors are retained and hash-checked; direct SEC text corroborates origin and key contents, but remote byte identity is not claimed. Original accessible white-paper bytes and customer imagery are retained. Extracted deck text is not mislabeled as an original downloaded PDF.

Original source graphics retain their own numbers, decimals, dates and image credits. They illustrate mechanisms and historical examples and do not supply unreported orders. New financial prose uses rounded whole figures, while the source packet, model and workbook preserve exact inputs. No submitted evidence acts as an instruction to override the owner or current framework.

The clean-state report excludes prior target comparisons, portfolio ranks and price-dependent upside. Recoverable prior records are retained separately. The source manifest binds originals, extracted text and images; the report manifest binds this report to the frozen approved model.